

Later that day, two partners independently approached me with the same basic assurance. One of them said, “I want to assure you that if anything ever happened to you, I would personally make sure that your family got the money.” [Clark is visibly moved by this recollection.]

You sound emotional about it, even to this day.

I am still getting emotional about it now because it was the first time that anyone had said anything like that to me. It really, really touched me.

What did they mean when they called you a “player”?

Because they owed me money, and I hadn’t been asking where my money was. Since I hadn’t mentioned it, they brought it up.

What kind of trading were you doing?

I was doing directional risk arbitrage.

What does that mean?

I might do the risk arbitrage, or I might not hedge, or I might go long both sides.⁴ It depended on the situation. I was basically trading the companies in a merger event.

When did you start your current fund, and what happened to your relationship with First New York Securities?

I set up my own asset management business in the U.K. and started an event-driven fund in 2001. I continued to manage First New York Securities money pari passu alongside with the fund, and I still do. I was also a de facto advisor to First New York Securities, but with my fund having grown to near \$1 billion, I didn’t want to maintain that commitment.

I met with the head of the firm in New York and told him I was too busy with my own fund to maintain my advisory role with First New York Securities. I said, “I will leave you with one bit of parting advice. You are too old. You’re killing your own business. Get out.”

He said, “I think you are right.”

How did you think he was killing the business?